Eastern Europe and Central Asia, leaving an economically broken Russia. India's closest international partner for the previous two decades had dissolved. [3]

But the employment of insurgent Islamist forces against the Soviet Army in Afghanistan also had direct security consequences for Pakistan and India. It was this conflict that contributed to an infrastructure in Pakistan that financed, recruited, trained, and equipped terrorists. Starting in 1988–90, these terrorist forces began to be deployed with considerable effect against India. An insurgency in Jammu and Kashmir flared up. Shortly after, India began to feel the brunt of international terrorism against urban civilian targets, especially after the Mumbai blasts of 1993. [4] Pakistan provided support and shelter to the planners and executors of these operations.

The third military intervention was the occupation of Kuwait by Saddam Hussein's Iraq in August 1990. Operation Desert Storm, in which US-led forces ousted Iraqi troops the next year with relative ease, resulted in a spike in global oil prices. India, heavily dependent on oil imports, had been running years of current account and fiscal deficits, and increased oil prices exhausted its foreign exchange reserves. This resulted in a balance of payments crisis, during which India had to ship gold to foreign lenders to secure emergency financing. These developments prompted Rao, Finance Minister Manmohan Singh, and others to push through a package of policy changes in 1991 and 1992 that included abolishing industrial licensing for most industries, ceding government authority on the location of industries, eradicating public-sector monopolies in ten sectors, dropping investment controls for large corporations, raising foreign direct investment (FDI) caps to 51 per cent in many sectors, allowing private enterprises to enter into technology transfer agreements, and removing import controls for capital goods, intermediate goods, components, and raw materials. [5] Tariff reforms were accompanied by the devaluation of the rupee, from Rs 18 per US dollar in 1991 to Rs 31 two years later.

The early 1990s were therefore a very precarious time for India on multiple fronts. For a few years, India's domestic politics featured embattled prime ministerships. P.V. Narasimha Rao (1991–1996), Atal